

Momentum Bot Strategy Document

Overview

An automated Bybit USDT perpetual futures bot that finds **quiet, low-turnover coins showing early accumulation** (insider positioning, volume waking up, OI building) and enters LONG **before the pump**. Designed specifically for "scam coins" / cabal-controlled tokens where a small group accumulates then orchestrates a squeeze.

The bot runs on a 5-minute scan cycle, checking all Bybit linear perpetual pairs.

Universe & Coin Selection

Four-Pool Classification

Every scan cycle, all Bybit USDT perps are sorted into four pools:

Pool	Criteria	Purpose
A	Top 50 by 24h turnover	Established, liquid coins (BTC, ETH, SOL, etc.)
B	Top 30 by 24h % change (>\$1M turnover, >1% move, not in A)	Active movers / breakouts
C	Top 30 flat-to-down with decent turnover (\$2M+, -10% to +5% change, not in A/B)	MYX-style trap setups
D	Top 50 quiet coins (\$100K-\$5M turnover, not in A/B/C), sorted by absolute % change	Accumulation sweet spot

The bot ONLY enters Pool D coins. These are the quiet, under-the-radar tokens where insiders accumulate before the pump hits the mainstream.

Pre-filters

- Must have >\$100K 24h turnover (not completely dead)
- Must have >1% 24h price change (skip pure noise)
- Must be a USDT perpetual pair

Entry Signals — Momentum Score

Each Pool D coin is scored 0-100 using a weighted composite of 7 signals, minus a distribution penalty. Entry requires **score >= 40**.

Signal Weights

Signal	Weight	What It Detects
Accumulation	30%	The core signal — quiet buildup before a pump
Pre-Squeeze Setup	20%	MYX-style trap: sustained negative funding + consolidation + rising OI
Volume Anomaly	10%	Recent volume spike vs 24h baseline
Price Acceleration	10%	Short-term rate of change accelerating vs longer-term
OI Surge	10%	Open interest building (new money entering)
Squeeze Setup	10%	Negative funding + rising OI + rising price (active setup)
Streak	10%	Consecutive green candles with rising volume

Accumulation Signal (30% weight, scored 0-100)

The most important signal. Detects the quiet buildup before a pump:

1. Volume Ramp (up to +30 pts)

- Compares recent 3-day average turnover vs older baseline, AND today vs prior 7-day average
- Uses whichever is stronger
- 5x+ = +30 pts, 3x = +25, 2x = +15, 1.5x = +8

2. OI Building from Low Base (up to +25 pts)

- Rising OI over 4 hours on a quiet coin = new positions being opened
- +30% OI = +25 pts, +15% = +18, +5% = +10

3. Price Coiling (up to +20 pts, or -15 penalty)

- 5-day high-low range — tighter = better (accumulation happens during boring action)
- <10% range = +20 pts, <20% = +12, <30% = +5
- 80% range = -15 pts (already pumped, not accumulation)

4. Negative Funding on Quiet Coin (up to +15 pts)

- Shorts arriving early = future squeeze fuel
- 4+ negative cycles out of 6 = +15 pts, 2+ = +8
- Only counts if price range is <30% (not during active pump)

5. Low Absolute Turnover (up to +10 pts)

- <\$2M = +10 pts (under the radar), <\$5M = +5, >\$50M = -10

6. Low Circulating Supply (up to +20 pts)

- CoinGecko data: if team/insiders hold 80%+ of supply, float is tiny
- <=10% circulating = +20 pts, <=20% = +15, <=35% = +8
- FDV >5x market cap adds +5 pts (unlock risk = manipulation signal)

Pre-Squeeze Setup (20% weight, scored 0-100)

Detects the MYX-style trap — the consolidation after an initial bait pump, right before the explosive squeeze:

1. **Negative Funding** (up to +35 pts) — 6+ negative cycles out of 8 = +35
2. **Price Consolidation** (up to +25 pts) — 24h range <8% = +25 (tight range)
3. **OI Rising During Consolidation** (up to +25 pts) — Shorts piling in while price holds
4. **Recent Bait Pump** (up to +15 pts) — Had a 40%+ pump and now sitting near the range top

Squeeze Setup (10% weight, scored 0-100)

The active squeeze pattern — all four conditions aligning:

1. **Negative Funding** — Shorts paying longs (crowd is short)
2. **OI Rising** — New short positions stacking
3. **Price Stable-to-Rising** — Shorts underwater = fuel (-2% to +15% sweet spot)
4. **Long/Short Ratio Dropping** — Retail shorting into strength (bonus)

Distribution Risk (Penalty, capped at -30 pts)

Prevents entering late/distribution setups:

- Already up 50%+ from 12h low = -15 pts
- Within 2% of 48h high while up 30%+ = -10 pts
- OI dropping >3% while price elevated = -15 pts

Crime Pump Risk (Hard Block)

Score 0-100. **>= 60 = coin is blocked entirely** (you'd be the exit liquidity).

Checks: fake volume (Vol/OI >20x), parabolic runs (+100-200% in 24h during distribution), outsized OI vs turnover, derivatives frenzy (positive funding + extreme volume).

Crime score at entry also modifies position size:

- Crime score < 30 → full size
- Crime score 30-60 → **half size** (pump already starting, entering late)
- Crime score >= 60 → **blocked**

Position Sizing

Score-Based Sizing

Base margin = account balance / 5. Multiplied by score tier and leverage:

Score	Multiplier	Example (\$500 balance, 5x leverage)
90+	3.0x	\$1,500 notional
80+	2.5x	\$1,250
70+	2.0x	\$1,000
60+	1.5x	\$750
50+	1.0x	\$500

40+	0.75x	\$375	

Safety Limits

- **Max total exposure** = account balance x 10 (with leverage)
- **Max trades per cycle** = 2
- **Max trades per day** = 6
- **Re-entry cooldown** = 6 hours per symbol
- **Default leverage** = 5x

Exit Strategy

Layer 1: Hard Stops (Always Active)

Exit	Condition	Purpose
Hard Stop Loss	P&L <= -8%	Limit damage at 5x leverage. Fires immediately, no minimum hold.
	Held >72h AND P&L between -10% and +5%	Cut dead money — coin isn't moving.

Layer 2: Scale-Out (First Target)

Exit	Condition	Action
Scale-Out	P&L >= +25%	Sell 50% of position. Lock in profit on half, let the other half ride as a "runner."

Layer 3: Runner Exits (After Scale-Out Only)

Once 50% has been sold at +25%, the remaining runner position uses these exits to try to catch a 5-20x move:

Exit	Condition	Logic
OI Divergence	OI dropped 20%+ from peak while price still within 70% of peak P&L	Smart money leaving — the move is over. OI collapsing while price holds = distribution.
Funding Decay	Peak negative funding was beyond -0.3%/cycle AND current funding has decayed to <30% of peak magnitude	Squeeze fuel exhausted. E.g., peak was -2.5%/cycle → exits when funding rises above -0.75%. No more short liquidation cascades.
Structure Break	1h candle close below the most recent higher low (L2/R2 swing low detection)	Pump staircase broken. Finds swing lows on 1h chart. Identifies the most recent one that was higher than its predecessor (confirming uptrend), then exits if price closes below it.
Ratchet Floors	Safety net — locks profit based on peak P&L	Peak +200% → floor at +80%. Peak +100% → floor at +30%. Peak +50% → floor at breakeven.

Layer 4: Signal-Based Exits (Pre-Scale-Out, After 30min Hold)

For positions that haven't yet hit +25%, these softer exits run after a 30-minute minimum hold:

Exit	Condition
Graduation Stale	Coin moved to Pool A/B (mainstream) for 24h+ AND profitable
Graduation + Weakness	In Pool A/B + funding positive OR OI dropping + profitable
Funding Flipped Positive	3/4 recent cycles positive OR average > +0.03%, while P&L > +30%
OI Dropping	OI down >10% over 4h while profitable
Extreme Extension	P&L >= +200% from entry
Crime Pump Detected	Crime pump score hit 60+ post-entry

Signal-based exits have a **profit lock range**: exits are blocked when P&L is between +10% and +30% (let winners run past the noise zone).

Position Tracking

The bot continuously tracks per position:

- **Current OI** — for ratchet floor calculations
- **Peak OI** — for OI divergence detection (OI drop from peak)
- **Peak Negative Funding** — for funding decay detection (funding recovery from extreme)

These are updated every check cycle (every ~1 minute between scan cycles, every ~5 minutes during main scan).

Data Sources

All data from Bybit v5 public API:

- `/v5/market/tickers` — 24h turnover, price change, current price
- `/v5/market/kline` — 1h candles (48 bars), daily candles (14 bars)
- `/v5/market/open-interest` — 5min OI data (48 points = 4 hours)
- `/v5/market/funding/history` — Last 10 funding rate cycles
- CoinGecko API — Circulating supply ratio (cached)

Summary: The Edge

The bot is designed to exploit one specific inefficiency: **cabal-controlled small-cap coins go through a predictable lifecycle**.

1. **Accumulation** (quiet, low volume, insiders positioning) ← **BOT ENTERS HERE**
2. **Initial pump** (volume spikes, OI builds, shorts arrive)
3. **Consolidation** (negative funding, tight range, shorts stack = squeeze fuel)
4. **Explosive squeeze** (short liquidation cascade, 5-20x moves)

5. (funding flips positive, OI drops, insiders dump) ←

The bot catches phase 1-2 through the accumulation and pre-squeeze signals, rides through phase 3-4 with the runner strategy, and exits at phase 5 through OI divergence, funding decay, and structure break detection.

What it does NOT catch: news-driven pumps (no insider positioning visible beforehand), large-cap breakouts (filtered out by Pool D), or coins that pump and dump within a single candle (too fast for 5-min scan cycle).

